

MITK - Mitek Systems | Full Deep Dive

September 21, 2026 | Framework 6.0.2 | NOT HELD | STRUCTURAL - digital identity and fraud prevention | Watchlist

Analytical Base: 44/60 (73%). Valuation: 20x forward four-quarter adjusted operating profit with ordinary depreciation retained.

Snapshot: USD 16.73 per share on September 18, 2026 close; 45.111 million shares, implying USD 754.70 million equity value. Source [MITK-5]. Price is a dated header snapshot, not a valuation input in the body.

Active horizon Q3 2027 ceiling: USD 32.88/share. Q1 2028: USD 35.42/share.

All financial model amounts are USD millions, shares in millions, unless stated. Fiscal year ends September. Calendar Q3 2026 is fiscal Q4 2026; calendar Q4 is fiscal Q1 2027. Calendar annual checks are not fiscal guidance.

1. Thesis, bottleneck and expanded TAM

Mitek addresses trust in digital transactions: identity verification, biometric authentication and check-fraud detection. AI lowers the cost of producing deceptive identities and documents, increasing the value of reliable decisioning. The relevant bottleneck is verified data, accuracy and integration into bank workflows, rather than raw computing capacity.

A check-verification cash engine funds a growing Fraud & Identity portfolio. Check Fraud Defender (CFD) can benefit from a consortium network: new institutions contribute information that may improve detection for all members. Network breadth is valuable only if it improves measurable fraud outcomes and survives privacy, security and bank procurement scrutiny. [MITK-2, MITK-6]

The model differentiates recurring SaaS growth from license renewal timing and an unusual age-verification surge. More AI-enabled fraud expands the need for protection, but it does not guarantee that Mitek captures every verification transaction.

The annual filing identifies customer-built systems, alternative authentication methods and competing mobile-capture/document/biometric technologies as principal competitive categories. Larger adjacent vendors can bundle services or compete on price. Mitek emphasizes its integrated technology stack and image-capture expertise; neither removes model-error, breach or procurement risk. No unsupported market-share ranking is assigned. [MITK-4]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
Phase 1 - current, 100% relevance	Check verification and deployed identity/fraud SaaS	Existing revenue and recurring renewal base
Phase 2 - 2027-2028, 50% conceptual weight	Consortium expansion and additional fraud workflows	Normalized SaaS growth; not the full value of fraud losses
Phase 3 - 2029 onward, 20% conceptual weight	Broader lifecycle authentication and channel distribution	Moderating growth inside Fraud & Identity, not a duplicate option premium

Fraud losses, banking assets and total payment volume are not software revenue TAM. No current, like-for-like dollar SAM was verified, so the commercial bridge uses deployed recurring revenue and contract conversion. CFD annual contract value exceeded \$22M in the August call. Its consortium expansion is included within SaaS, not added to total identity revenue a second time. The 2027 SaaS forecast of \$115M equals approximately 1.20x an assumed normalized \$24M quarterly exit rate annualized; this is sourced extrapolation with explicit execution risk. [MITK-2]

2. Latest evidence and financial anchor

Latest fiscal Q3 revenue was \$54.038M, with \$42.739M GAAP GP and \$11.544M OP. Fraud & Identity SaaS contributed \$24.833M; total Check Verification was \$25.007M. FY2026 guidance is revenue \$195-200M, Fraud & Identity \$105-109M and adjusted EBITDA margin 32-34%. Fiscal Q4 revenue guidance is \$42-47M with adjusted opex \$26-27M. [MITK-1]

Two-call review: May 7 highlighted recurring fraud growth and refinancing; August 6 explained that age-verification demand temporarily accelerated and two large check renewals distorted quarterly growth. Management described normalized SaaS growth in the high teens to low twenties and check revenue around a \$90M annual level. [MITK-2, MITK-3]

A top-five U.S. bank progressed from pilot to the consortium. The important future tests are additional paying deployments and detection performance, rather than counting every bank reachable through resellers as a customer. R&D cash investment increased even as reported expense benefited from capitalization. [MITK-1, MITK-2]

Period	Status	Revenue	Gross profit	Operating profit	Source
Nine months to June 2026	Actual GAAP; cumulative	153.12	118.83	30.53	MITK-1
Calendar Q2 / fiscal Q3 2026	Actual GAAP; quarter	54.04	42.74	11.54	MITK-1

Latest adjusted EBITDA \$20.780M less \$0.504M ordinary depreciation/amortization implies \$20.276M adjusted OP. This retains ordinary depreciation but excludes acquired-intangible amortization, SBC and specified adjustments. The company gross-profit/opex presentation differs in depreciation placement, so model margin allocations are calibrated to total OP rather than claimed as reported segment margins. [MITK-1]

Calendar Q3 sales of \$44.5M equal the fiscal Q4 revenue midpoint. An 80.5% normalized gross margin and \$26.5M opex give \$9.3225M OP; adding assumed \$0.6M ordinary depreciation gives \$9.9225M EBITDA. With actual nine-month EBITDA of \$56.375M, fiscal 2026 reaches \$197.623M revenue and \$66.2975M EBITDA, or 33.55%, within guidance. Fraud & Identity Q3 sales of \$26.8M bring the fiscal year to \$107.001M, near its guide midpoint. Fiscal Q4 is seasonally weaker, not a linear continuation of June.

Balance sheet and capital allocation

Cash and investments totaled about \$100.2M against approximately \$54M total debt after convertible retirement. The August call reported \$48M buyback authorization remaining and trailing free cash flow of \$48.6M. [MITK-1, MITK-2] Capitalized development, cash taxes and working capital mean EBITDA is not free cash flow. The forecast does not spend the full authorization immediately or add net cash as a second valuation component.

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis	16	Embedded bank workflows, proprietary data and fraud decisioning
Cycle Stage	8	Recurring growth strengthening; license renewal noise remains
TAM Expansion	8	Fraud consortium and identity lifecycle broaden applications
Catalysts	4	Bank conversion, channel expansion and normalized SaaS growth
Macro	8	AI-enabled fraud and digital transactions support demand
Alpha	3	Separate recurring growth from one-time verification and renewals
Risks	-3	Competition/performance, cash economics, contracting/regulation
Total	44/60 = 73%	Watchlist

44/60 = 73, Watchlist. Recurring growth and cash generation support quality, while evidence does not yet justify an elite-score network monopoly.

4. Quarterly operating model

Three vectors separate Fraud & Identity SaaS, its non-SaaS license/service business, and mature Check Verification. CFD is included in the first vector. Gross margins retain ordinary depreciation and are analyst allocations. Explicit R&D and SG&A ratios normalize the cost base after the latest guidance quarter.

Revenue vector	Driver and source	Confidence
Fraud and Identity SaaS, including CFD	MITK-2 normalized high-teens/low-twenties growth; contract network expansion	MEDIUM 2027 extrapolation; LOW longer term
Fraud and Identity licenses and services	MITK-1 disaggregation; conservative migration to SaaS	MEDIUM direction; LOW quarterly renewals
Check Verification	MITK-2 roughly \$90M annual base; modeled mature decline	MEDIUM annual; LOW quarter timing

SaaS 2027 growth is calibrated to the normalized quarterly exit rate, not a repetition of the 37% surge. Annual growth then slows from 20% in 2028 to about 17% in 2029 and 14% in 2030. This assumes transaction volume and new consortium contracts grow while realized price/mix stays broadly stable; volumes and per-check ASPs are not publicly separable. Non-SaaS identity revenue falls as contracts migrate; legacy check revenue stays near the stated annual base then declines modestly. Quarterly check weights reproduce heavier March/June renewal periods. No acquisition, unannounced major customer or unsupported regulatory windfall is included.

Physical and commercial drivers

Calendar year	Fraud SaaS	Other fraud/identity	Check Verification	SaaS growth proxy
2027	115	12	90	~20% vs normalized exit run-rate
2028	138	11	89	20%
2029	162	10	87	17.4%
2030	184	10	85	13.6%

Vector revenue, gross margin and gross profit

For each row: vector gross profit = vector revenue x its own gross margin. The following tables expose the inputs; they are analyst model assumptions unless explicitly identified as reported or guided.

Fraud and Identity SaaS, including CFD

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	24.00	74.00%	17.76
Q4 2026	25.00	75.50%	18.88
Q1 2027	26.45	78.00%	20.63
Q2 2027	28.18	78.00%	21.98
Q3 2027	29.32	78.00%	22.87
Q4 2027	31.05	78.00%	24.22
Q1 2028	31.74	80.00%	25.39
Q2 2028	33.81	80.00%	27.05
Q3 2028	35.19	80.00%	28.15
Q4 2028	37.26	80.00%	29.81
Q1 2029	37.26	81.00%	30.18
Q2 2029	39.69	81.00%	32.15
Q3 2029	41.31	81.00%	33.46
Q4 2029	43.74	81.00%	35.43
Q1 2030	42.32	82.00%	34.70
Q2 2030	45.08	82.00%	36.97
Q3 2030	46.92	82.00%	38.47
Q4 2030	49.68	82.00%	40.74

Fraud and Identity licenses and services

Quarter	Revenue	Gross margin	Gross profit
Q3 2026		2.80	85.00% 2.38
Q4 2026		3.00	85.00% 2.55
Q1 2027		3.60	84.00% 3.02
Q2 2027		3.24	84.00% 2.72
Q3 2027		2.40	84.00% 2.02
Q4 2027		2.76	84.00% 2.32
Q1 2028		3.30	84.00% 2.77
Q2 2028		2.97	84.00% 2.49
Q3 2028		2.20	84.00% 1.85
Q4 2028		2.53	84.00% 2.13
Q1 2029		3.00	84.00% 2.52
Q2 2029		2.70	84.00% 2.27
Q3 2029		2.00	84.00% 1.68
Q4 2029		2.30	84.00% 1.93
Q1 2030		3.00	84.00% 2.52
Q2 2030		2.70	84.00% 2.27
Q3 2030		2.00	84.00% 1.68
Q4 2030		2.30	84.00% 1.93

Check Verification

Quarter	Revenue	Gross margin	Gross profit
Q3 2026		17.70	88.60% 15.68
Q4 2026		18.00	89.00% 16.02
Q1 2027		29.70	90.00% 26.73
Q2 2027		26.10	90.00% 23.49
Q3 2027		16.20	90.00% 14.58
Q4 2027		18.00	90.00% 16.20
Q1 2028		29.37	90.00% 26.43
Q2 2028		25.81	90.00% 23.23
Q3 2028		16.02	90.00% 14.42
Q4 2028		17.80	90.00% 16.02
Q1 2029		28.71	90.00% 25.84
Q2 2029		25.23	90.00% 22.71
Q3 2029		15.66	90.00% 14.09
Q4 2029		17.40	90.00% 15.66
Q1 2030		28.05	90.00% 25.25
Q2 2030		24.65	90.00% 22.18
Q3 2030		15.30	90.00% 13.77
Q4 2030		17.00	90.00% 15.30

Combined quarterly earnings

Quarter	Status	Revenue	Gross profit	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	Model	44.50	35.82	7.12	19.38	0.00	9.32	20.95%
Q4 2026	Model	46.00	37.45	7.36	18.40	0.00	11.68	25.40%
Q1 2027	Model	59.75	50.39	8.96	20.32	0.00	21.11	35.33%
Q2 2027	Model	57.52	48.19	8.63	19.56	0.00	20.01	34.78%
Q3 2027	Model	47.92	39.47	7.19	16.29	0.00	15.99	33.36%
Q4 2027	Model	51.81	42.74	7.77	17.62	0.00	17.35	33.49%
Q1 2028	Model	64.41	54.60	9.34	21.26	0.00	24.00	37.26%
Q2 2028	Model	62.59	52.77	9.08	20.65	0.00	23.04	36.81%
Q3 2028	Model	53.41	44.42	7.74	17.63	0.00	19.05	35.66%
Q4 2028	Model	57.59	47.95	8.35	19.00	0.00	20.60	35.77%
Q1 2029	Model	68.97	58.54	9.66	22.07	0.00	26.81	38.88%
Q2 2029	Model	67.62	57.12	9.47	21.64	0.00	26.02	38.48%
Q3 2029	Model	58.97	49.24	8.26	18.87	0.00	22.11	37.49%
Q4 2029	Model	63.44	53.02	8.88	20.30	0.00	23.84	37.58%
Q1 2030	Model	73.37	62.47	9.90	22.74	0.00	29.82	40.64%
Q2 2030	Model	72.43	61.42	9.78	22.45	0.00	29.19	40.30%
Q3 2030	Model	64.22	53.92	8.67	19.91	0.00	25.35	39.47%
Q4 2030	Model	68.98	57.97	9.31	21.38	0.00	27.27	39.54%

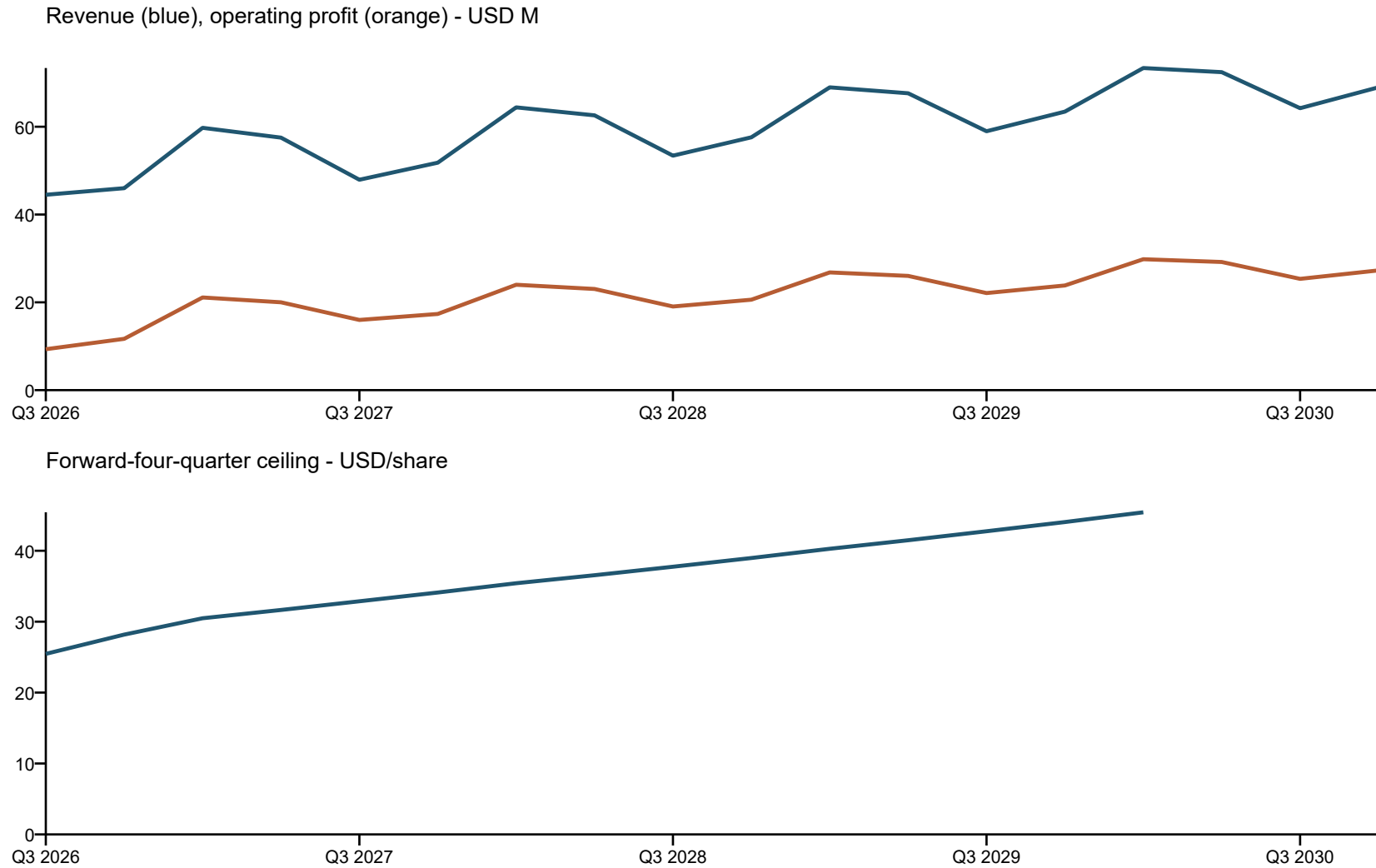
Annual trajectory cross-check

The calendar-bucket sums below are a capacity and demand cross-check; quarterly windows remain the live valuation method. Years beyond the latest guidance are model extensions, not company guidance.

Year	Revenue	Operating profit	OP margin
2027	217.00	74.45	34.31%
2028	238.00	86.69	36.42%
2029	259.00	98.78	38.14%
2030	279.00	111.62	40.01%

Calendar sales rise from \$217M in 2027 to \$279M in 2030, approximately 8.7% annually as SaaS offsets a mature check business. Thus a strong growth vector does not become the entire company growth rate. A 10% shortfall in 2027 fraud SaaS costs about \$9M GP before expense flex. If \$3M of annual incremental development costs had to be expensed rather than capitalized, OP would be \$3M lower; this sensitivity is separate from dilution and SBC.

5. Forward four-quarter ceiling and derivations



20x forward-four-quarter adjusted operating profit with ordinary depreciation retained is the portfolio owner-selected multiple as of September 21, 2026, held constant across the model. This is the framework operating-profit convention, not an observed market P/E. A one-turn change changes each ceiling by 5%. Quarterly SBC of approximately \$4.9M annualizes to \$19.6M: retaining it as an expense would materially lower adjusted earnings power.

The framework convention applies the operating-profit multiple directly to diluted equity shares. It is neither a net-income P/E nor an enterprise-value bridge. No separate net-cash addition, tax conversion, probability haircut or price-dependent ranking enters this ceiling. Any probability-weighted revenue is already included once in its operating vector.

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q3 2026	Q3 2026 to Q2 2027	62.12	20x	48.800	25.46
Q4 2026	Q4 2026 to Q3 2027	68.78	20x	48.825	28.18
Q1 2027	Q1 2027 to Q4 2027	74.45	20x	48.850	30.48
Q2 2027	Q2 2027 to Q1 2028	77.34	20x	48.875	31.65
Q3 2027	Q3 2027 to Q2 2028	80.38	20x	48.900	32.88
Q4 2027	Q4 2027 to Q3 2028	83.44	20x	48.925	34.11
Q1 2028	Q1 2028 to Q4 2028	86.69	20x	48.950	35.42
Q2 2028	Q2 2028 to Q1 2029	89.50	20x	48.975	36.55
Q3 2028	Q3 2028 to Q2 2029	92.48	20x	49.000	37.75
Q4 2028	Q4 2028 to Q3 2029	95.54	20x	49.025	38.98
Q1 2029	Q1 2029 to Q4 2029	98.78	20x	49.050	40.28
Q2 2029	Q2 2029 to Q1 2030	101.78	20x	49.075	41.48
Q3 2029	Q3 2029 to Q2 2030	104.95	20x	49.100	42.75
Q4 2029	Q4 2029 to Q3 2030	108.19	20x	49.125	44.05
Q1 2030	Q1 2030 to Q4 2030	111.62	20x	49.150	45.42

Complete derivation for every ceiling quarter

Q3 2026: OP window Q3 2026 to Q2 2027: $(9.32 + 11.68 + 21.11 + 20.01) \times 20 / 48.800 = \text{USD } 25.46$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2026: OP window Q4 2026 to Q3 2027: $(11.68 + 21.11 + 20.01 + 15.99) \times 20 / 48.825 = \text{USD } 28.18$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2027: OP window Q1 2027 to Q4 2027: $(21.11 + 20.01 + 15.99 + 17.35) \times 20 / 48.850 = \text{USD } 30.48$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2027: OP window Q2 2027 to Q1 2028: $(20.01 + 15.99 + 17.35 + 24.00) \times 20 / 48.875 = \text{USD } 31.65$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2027: OP window Q3 2027 to Q2 2028: $(15.99 + 17.35 + 24.00 + 23.04) \times 20 / 48.900 = \text{USD } 32.88$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2027: OP window Q4 2027 to Q3 2028: $(17.35 + 24.00 + 23.04 + 19.05) \times 20 / 48.925 = \text{USD } 34.11$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2028: OP window Q1 2028 to Q4 2028: $(24.00 + 23.04 + 19.05 + 20.60) \times 20 / 48.950 = \text{USD } 35.42$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2028: OP window Q2 2028 to Q1 2029: $(23.04 + 19.05 + 20.60 + 26.81) \times 20 / 48.975 = \text{USD } 36.55$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2028: OP window Q3 2028 to Q2 2029: $(19.05 + 20.60 + 26.81 + 26.02) \times 20 / 49.000 = \text{USD } 37.75$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2028: OP window Q4 2028 to Q3 2029: $(20.60 + 26.81 + 26.02 + 22.11) \times 20 / 49.025 = \text{USD } 38.98$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2029: OP window Q1 2029 to Q4 2029: $(26.81 + 26.02 + 22.11 + 23.84) \times 20 / 49.050 = \text{USD } 40.28$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q2 2029: OP window Q2 2029 to Q1 2030: $(26.02 + 22.11 + 23.84 + 29.82) \times 20 / 49.075 = \text{USD } 41.48$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q3 2029: OP window Q3 2029 to Q2 2030: $(22.11 + 23.84 + 29.82 + 29.19) \times 20 / 49.100 = \text{USD } 42.75$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q4 2029: OP window Q4 2029 to Q3 2030: $(23.84 + 29.82 + 29.19 + 25.35) \times 20 / 49.125 = \text{USD } 44.05$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

Q1 2030: OP window Q1 2030 to Q4 2030: $(29.82 + 29.19 + 25.35 + 27.27) \times 20 / 49.150 = \text{USD } 45.42$ per share. Each OP above is the corresponding vector GP total plus any disclosed GP adjustment, less R&D, SG&A and other opex.

The final three operating quarters support earlier four-quarter windows and have no standalone ceiling. Arithmetic uses unrounded inputs; displayed components are rounded for readability.

48.8M starting diluted shares approximates the latest 48.709M diluted weighted average, rather than the smaller 45.111M basic outstanding count. The model adds 0.025M quarterly net dilution. Repurchases may offset issuance but the full authorization is not presumed. [MITK-1]

Mechanical share sensitivity

Q1 2028 denominator	Ceiling/share
Current model	35.42
5% more shares	33.73
10% more shares	32.20

6. Cross-book relationships and monitoring

Five9 automates customer-service workflows; Mitek authenticates identities and transactions. AI can increase demand for both, but authentication accuracy and fraud losses create distinct adoption constraints.

Memory, optics and power infrastructure support AI computation. Mitek benefits from a different consequence of AI adoption: cheaper fraud and stronger demand for verification. Hardware TAM revisions are not inputs to its revenue.

Software exposure can diversify manufacturing cycles, yet bank technology budgets, privacy regulation and cybersecurity events create shared risks across digital-service positions.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Competitive performance and security	-1	False decisions, deepfake advances or a breach undermine trust and pricing
Cash economics and dilution	-1	SBC and capitalized development make adjusted OP exceed owner cash economics
Contracting and regulation	-1	Bank deployment delays, renewal timing or privacy restrictions slow network expansion

Dated triggers and counters

Checkpoint	Positive evidence	Counter / model action
Fiscal Q4 2026 results	Revenue and costs land inside updated guidance	Normalize temporary verification demand and renewals before extrapolating
Fiscal 2027 consortium evidence	More paying banks and durable committed ACV growth	Reseller reach without deployed contracts is not revenue
2027-2028 economics	Gross margin improves alongside cash conversion	Capitalized development or dilution rises faster than recurring gross profit
2028 onward moat test	Detection quality improves as the data network expands	Competitors match outcomes or customers internalize workflows

Quarterly actuals and the current outlook are high-confidence as disclosed. Revenue segmentation beyond guidance, future margins and quarterly renewal weights are model assumptions. A precise current dollar TAM was not verified; the recurring-revenue bridge is therefore the controlling demand case. The May and August management calls were reviewed and stale May guidance is superseded.

8. Sources and snapshot

- **MITK-1** - August 6, 2026. Fiscal Q3 results and reconciliations. Actuals, mix, shares, balance sheet and updated guidance.
- **MITK-2** - August 6, 2026. Fiscal Q3 management call. Normalized SaaS growth, CFD ACV, renewal cadence and capitalization.
- **MITK-3** - May 7, 2026. Fiscal Q2 management call. Prior outlook and refinancing; guidance superseded by August.
- **MITK-4** - December 11, 2025. Fiscal 2025 annual filing. Competitive categories and technology risks.
- **MITK-5** - September 18, 2026. Historical close. Dated snapshot only.
- **MITK-6** - May 2026. Investor presentation. Product architecture and cash-engine/growth-business distinction.

Model snapshot: September 21, 2026. MITK. Framework 6.0.2. Base 44/60 (73%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My Drive/1amInvesting/Artifacts/MITK_MitekSystems_DeepDive.pdf and .md. The companion company worksheet uses this same model and links the ceiling path to the master portfolio.